

Oxford Cambridge and RSA Examinations

GCE

Economics

H060/02: Macroeconomics

Advanced Subsidiary GCE

Mark Scheme – Practice Paper (Moderate Level)

Levels-of-Response Descriptors

Level	Knowledge & Understanding / Application	Analysis	Evaluation
Strong	Precision in the use of the terms in the question and applied in a focused way to the context of the question.	An explanation of causes and consequences, fully developing the links in the chain of argument.	A conclusion is drawn weighing up both sides, and reaches a supported judgement.
Good		An explanation of causes and consequences, developing most of the links in the chain of argument.	A conclusion is drawn weighing up both sides, but without reaching a supported judgement.
Reasonable	Awareness of the meaning of the terms in the question and applied to the context of the question.	An explanation of causes and consequences, which omit some key links in the chain of argument.	Some attempt to come to a conclusion, which shows some recognition of the influencing factors.
Limited	Awareness of the meaning of the terms in the question.	Simple statement(s) of cause and consequence.	An unsupported assertion.

Section A: Multiple Choice Answers

Each correct answer is worth 1 mark. Total: 15 marks.

Question	Answer
1	B
2	B
3	A
4	D
5	C
6	A
7	A
8	B
9	C
10	C
11	D
12	C
13	B
14	A
15	A

Rationale for each multiple choice question:

Question 1 Answer: B [1 mark]

- A Cyclical unemployment
- B Correct: Definition of structural unemployment
- C Frictional unemployment
- D Voluntary unemployment

Question 2 Answer: B [1 mark]

- A Proportional tax
- B Correct: Definition of progressive tax
- C Regressive tax
- D Cyclical (automatic stabiliser) effect

Question 3 Answer: A [1 mark]

- A Correct: Lower rates make borrowing cheaper and saving less attractive, raising consumption
- B Lower rates discourage saving
- C Lower borrowing costs encourage investment
- D Lower rates increase AD

Question 4 Answer: D [1 mark]

- A Budget deficit
- B Budget surplus
- C Current account surplus
- D Correct: Imports > Exports on the current account

Question 5 Answer: C [1 mark]

- A Deflation
- B Disinflation
- C Correct: Definition of stagflation
- D Inflationary boom

Question 6 Answer: A [1 mark]

- A Correct: $(£7\,500 \times 0.20) / £20\,000 = 7.5\%$
- B $£2\,500 / £20\,000$
- C Marginal rate, not average
- D $£7\,500 / £20\,000$

Question 7 Answer: A [1 mark]

- A Correct: $(\$30 - \$25)/\$25 = +20\%$
- B $(30 - 25)/30 \approx 16.7\%$ — wrong base
- C % change in real GDP only
- D % change in real GDP / population change

Question 8 Answer: B [1 mark]

- A Reduces export competitiveness
- B Correct: Cheaper exports boost AD and growth
- C Reduces consumption
- D Reduces investment

Question 9 Answer: C [1 mark]

- A $15\,000 \times 1.20 - 14\,500$ calculation error
- B $18\,000 - 14\,500$ (multiplied instead of divided)
- C Correct: $€15\,000 / 1.20 = €12\,500$; $€14\,500 - €12\,500 = €2\,000$ profit
- D Used a different rate

Question 10 Answer: C [1 mark]

- A Regressive
- B Progressive
- C Correct: Definition of proportional tax (flat tax)
- D Indirect tax

Question 11 Answer: D [1 mark]

- A Reduces disposable income → AD left
- B Reduces consumption → AD left
- C G is a component of AD → AD left
- D Correct: Lower rates increase C and I → AD right

Question 12 Answer: C [1 mark]

- A Contractionary
- B Reduces money supply
- C Correct: Stimulates AD by reducing cost of borrowing
- D Fiscal policy (and contractionary)

Question 13 Answer: B [1 mark]

- A Monetary policy
- B Correct: Investment in infrastructure raises productive capacity (LRAS)
- C Demand-side policy
- D Monetary policy

Question 14 Answer: A [1 mark]

- A Correct: $(106.0 - 103.5)/103.5 \times 100 = 2.42\%$
- B $(106 - 103.5)/106$
- C Year 2 inflation
- D Index change since Year 1

Question 15 Answer: A [1 mark]

A Correct: $-40\,000 + 18\,000 - 6\,000 - 4\,000 = -\$32\,000\text{m}$

B Excludes secondary income

C Sign error

D Treats all entries as negative

Section B: Mark Scheme

Case study: Vietnam's Economic Transformation

16 (a) (i) [2 marks]

Question: Using Fig. 1, explain the change in FDI inflows into Vietnam from 2010 to 2020.

Indicative content:

- 1 mark for stating that FDI inflows have risen / Vietnam has attracted more foreign investment.
- 1 mark for accurate quantitative reference (e.g. rose from approx. \$8bn in 2010 to approx. \$20bn in 2020, an increase of about \$12bn or 150%).

Mark allocation: AO2 × 2. Quantitative skills rewarded.

16 (a) (ii) [1 marks]

Question: State why the 4% pay rise promised to state employees (lines 8–10) may represent "no real gain" in their living standards.

Indicative content (1 mark):

- Inflation in Vietnam is around 3% (or close to 4%), so a 4% nominal pay rise gives little or no real increase in purchasing power.
- Accept any answer explaining that nominal wage growth $\approx$ inflation, so the real wage is approximately unchanged.

Mark allocation: AO1 × 1.

16 (b) [2 marks]

Question: Using Fig. 2, explain what happened to inflation in Vietnam between 2010 and 2014.

Indicative content:

- 1 mark for identifying that inflation rose between 2010 and 2011 and then fell sharply by 2014.
- 1 mark for accurate quantitative reference (peaked at approximately 18.7% in 2011/2012, then fell to approximately 4.1% by 2014).
- Accept reference to 'fall in the rate of inflation' / disinflation.

Mark allocation: AO1 × 1, AO2 × 1. Quantitative skills rewarded.

16 (c) [4 marks]

Question: The case study notes that FDI has been a major driver of economic growth.

Using a diagram, explain how an increase in FDI may affect economic growth in Vietnam.

Indicative content – up to 4 marks:

Up to 2 marks for a correctly labelled diagram:

- Accurate labelling of axes (Price Level on Y, Real GDP / Real National Output on X) and curves (AD, AS). (1)

- Correct shift identified, with new equilibrium price level and real GDP labelled. (1)

Up to 2 marks for explanation:

- FDI increases investment (I) which is a component of AD, so AD shifts right. (1)
- Equilibrium real GDP rises – economic growth occurs; FDI may also raise LRAS over time through new capital. (1)

Accept: increases in employment, technology transfer, productivity improvements, multiplier effects.

Diagram must have correct macro axis labels to be awarded the diagram marks. Accept a PPF shifting inwards / outwards as an alternative diagram where appropriate.

Mark allocation: AO1 × 2, AO2 × 2.

16 (d) [4 marks]

Question: Using information from the case study, explain possible reasons why Vietnam's currency, the dong, has gradually depreciated against the US dollar over the past decade.

Indicative content – up to 4 marks:

Up to 2 marks for analytical reasons:

- Fall in demand for the currency (e.g. fewer exports, less FDI). (1)
- Increase in supply of the currency (e.g. more imports, capital outflows, central bank intervention selling reserves). (1)

Up to 2 marks for evidence from the case study:

- State Bank of Vietnam intervenes in the forex market to manage the rate. (1)
- Past high inflation reduces competitiveness of Vietnamese exports. (1)
- Rising wages and competition from other Southeast Asian countries reduce exports / FDI inflows.

Allow up to 2 marks for a correct diagram showing decrease in demand and/or increase in supply of the currency on the forex market.

Mark allocation: AO1 × 2, AO2 × 2.

16 (e) [2 marks]

Question: Explain the difference between economic growth and economic development.

Indicative content – up to 2 marks:

- Economic growth is an increase in real GDP / a quantitative measure of national output (1).
- Economic development is a broader, qualitative measure including standard of living, health, education, equality, and political freedoms (1).

One mark for a definition of either term; two marks for a clear distinction.

Mark allocation: AO1 × 2.

16 (f)* [10 marks]

Question: Evaluate the advantages of free trade agreements (such as the CPTPP) to an emerging country, such as Vietnam.

Levels-marked question – up to 10 marks.

Indicative content – arguments in favour (advantages of free trade agreements):

- Trade liberalisation removes tariffs/quotas, increasing the size of the market for Vietnamese exports (electronics, textiles, footwear). Exports are a component of AD, so rising X boosts AD and short-run economic growth.
- Increased export demand requires extra production, encouraging firms to hire more workers. This helps reduce already low official unemployment further and addresses rural underemployment of 1.2 million workers.
- Foreign firms entering Vietnam via FTAs bring capital, technology and management know-how (positive spillovers). This raises productivity and LRAS, supporting long-run growth.
- Cheaper imports of intermediate goods and final consumer goods reduce costs for firms and prices for consumers, helping the SBV keep inflation stable around 3%.
- FTAs may attract more FDI (already ~\$20bn) by giving foreign firms preferential access to other FTA markets from a Vietnamese production base.

Indicative content – evaluation / disadvantages and 'it depends' factors:

- Free trade exposes domestic firms (especially in agriculture and small textiles) to fierce competition; some may close, causing structural unemployment.
- Income inequality may worsen if the gains go disproportionately to skilled workers and FDI-related sectors (top 20% already earn 8× the bottom 20%).
- Dependence on exports makes Vietnam vulnerable to external demand shocks (e.g. US/EU recessions).
- Currency may appreciate as FDI flows in, hurting exporters — though the SBV intervenes to prevent this.

Levels-of-response (10 marks):

Level 3 (7–10)	Good—strong analysis: developed, coherent chain of reasoning with relevant diagram(s) where appropriate. Strong evaluation with a supported judgement weighing both sides.
Level 2 (4–6)	Reasonable analysis – correct points but mostly as single links rather than developed chains. Reasonable evaluation, some structure, limited supporting evidence.
Level 1 (1–3)	Limited analysis – simple statements of cause/consequence, little reasoning. Limited or no evaluation, an unsupported assertion.
0	No response worthy of credit.

Mark allocation: AO2 × 1, AO3 × 4, AO4 × 5.

Section C: Mark Scheme (Answer EITHER 17 OR 18 — 20 marks)

Question 17* [20 marks]

The Vietnamese government has reduced the rate of corporation tax from 25% to 20% in order to attract more foreign investment. Evaluate, using an appropriate diagram(s), the effects of this change in taxation on the Vietnamese government's ability to achieve its macroeconomic objectives.

Indicative content – analysis (advantages / mechanisms):

- Cutting corporation tax raises post-tax profits and the after-tax return on investment, encouraging both domestic and foreign firms to invest more. Investment (I) is a component of AD, so AD shifts right – supporting economic growth and reducing unemployment via the multiplier.
- Lower corporation tax makes Vietnam more attractive for FDI, complementing existing FTAs and adding to the \$20bn FDI inflow. New foreign factories raise productive capacity (LRAS), helping long-run growth without inflationary pressure.
- Higher investment expands productive capacity, helping keep inflation around the 3% level even as growth accelerates.

Indicative content – evaluation / counter-arguments / 'it depends' factors:

- Reduced corporation tax revenue may worsen the fiscal balance unless growth-induced revenues compensate (Laffer-curve effect).
- If firms simply increase dividends rather than invest, the AD effect is weak; macroeconomic objectives may not improve as expected.
- Other countries (Indonesia, Thailand) may match the cut, eroding Vietnam's relative advantage.
- May worsen income inequality if benefits accrue mainly to capital owners.
- Effectiveness depends on business confidence, the state of global demand, and complementary supply-side measures.

Levels-of-response (20 marks):

Level 4 (16–20)	Good knowledge; strong, coherent chain of reasoning; predominantly correct diagram(s) integral to the analysis; strong evaluation with a supported judgement weighing both sides.
Level 3 (11–15)	Good knowledge; correct analysis with developed links; relevant diagram(s) linked to the analysis; good evaluation weighing both sides but without a supported overall judgement.
Level 2 (6–10)	Reasonable knowledge; correct analysis largely as single links rather than chains; diagram(s) may be imperfectly labelled; reasonable evaluation with limited supporting evidence.
Level 1 (1–5)	Limited knowledge; limited or no analysis; diagram(s) absent or incorrectly labelled; limited evaluation – unsupported statements.
0	No response worthy of credit.

Mark allocation: AO1 × 3, AO2 × 4, AO3 × 6, AO4 × 7. Quality of extended response (*) assessed.

Question 18* [20 marks]

The State Bank of Vietnam regularly intervenes in the foreign exchange market in order to manage the value of the dong. Evaluate, using an appropriate diagram(s), whether central bank intervention in the foreign exchange market is beneficial for an emerging economy such as Vietnam.

Indicative content – analysis (advantages / mechanisms):

- Intervention can prevent excessive appreciation of the dong from FDI inflows, keeping exports of electronics and textiles competitive – supporting growth and the current account.
- Intervention reduces exchange rate volatility, improving the climate for investment and trade.
- Building reserves through intervention gives the SBV ammunition to defend the currency during external shocks.

Indicative content – evaluation / counter-arguments / 'it depends' factors:

- Persistent intervention to depress the currency can be seen as currency manipulation, attracting trade retaliation from partners such as the USA.
- Maintaining a weak currency makes imports of capital goods and intermediate inputs more expensive, raising business costs and potentially inflation.
- Sterilised intervention is costly and may distort the domestic money supply.
- Effectiveness depends on the scale of FX flows relative to reserves; large speculative attacks can overwhelm central banks (as in many emerging-market crises).

Levels-of-response (20 marks):

Level 4 (16–20)	Good knowledge; strong, coherent chain of reasoning; predominantly correct diagram(s) integral to the analysis; strong evaluation with a supported judgement weighing both sides.
Level 3 (11–15)	Good knowledge; correct analysis with developed links; relevant diagram(s) linked to the analysis; good evaluation weighing both sides but without a supported overall judgement.
Level 2 (6–10)	Reasonable knowledge; correct analysis largely as single links rather than chains; diagram(s) may be imperfectly labelled; reasonable evaluation with limited supporting evidence.
Level 1 (1–5)	Limited knowledge; limited or no analysis; diagram(s) absent or incorrectly labelled; limited evaluation – unsupported statements.
0	No response worthy of credit.

Mark allocation: AO1 × 3, AO2 × 4, AO3 × 6, AO4 × 7. Quality of extended response () assessed.*

Assessment Objectives Grid

Question	AO1	AO2	AO3	AO4	Total
1 to 15	7	6	2	—	15
16(a)(i)	—	2	—	—	2
16(a)(ii)	1	—	—	—	1
16(b)	1	1	—	—	2
16(c)	2	2	—	—	4
16(d)	2	2	—	—	4
16(e)	2	—	—	—	2
16(f)	—	1	4	5	10
17 or 18	3	4	6	7	20
Total	18	18	12	12	60